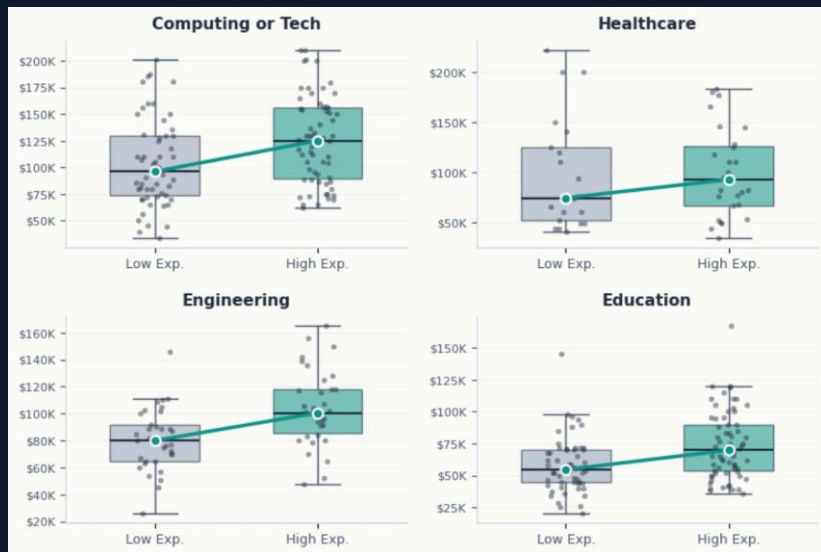


RESEARCH QUESTION:

Does experience increase salary when controlling for industry?



Comparing the two regression models

Model 1 Uncontrolled

`LogSalary ~ Experience`

Variable	Coef	Std Err	p-value	Interpretation
Experience	0.0153	0.002	< 0.001	+1.53% per year

$R^2 = 0.073$

Model 2 Controlled

`LogSalary ~ Experience + C(Industry)`

Variable	Coef	Std Err	p-value	Interpretation
Experience	0.0135	0.002	< 0.001	+1.35% per year
Industry	varies	—	< 0.001	Education, Nonprofit lowest

$R^2 = 0.235$

KEY FINDING

+1.35%

salary increase per year of experience, controlling for industry

CONCLUSION

Experience matters, but clearly industry matters more. Adding industry triples the R^2 (0.07 to 0.24) while the experience effect remains real and significant.